

Swiss Institute of Banking and Finance



University of St.Gallen

Case Study Session 3: Cox Communications, Inc., 1999

3,130/4,130 Corporate Finance

Key messages of this exercise

1. Understand how to make short-term and long-term funding decisions
2. Illustrate how various financing constraints, typical and atypical, can influence funding decisions
3. Understand how innovative financial products create value and help alleviate financing constraints

Outline

1. Recap: Capital structure
2. Introduction of Cox Communications, Inc.
3. Acquisition of Gannett's cable properties
4. Funding needs and constraints of Cox Communications, Inc.
5. Possible funding options of Cox Communications, Inc.
6. Excursus: Hybrid financing instrument

1. Recap: Capital structure (I)

A firm's basic resource is the stream of cash flows produced by its assets. These cash flows belong to the security holders of a firm.

Equity

If financed entirely by equity, these cash flows all belong to the shareholders.



Debt

If partially financed by debt, the cash flows which go to the bondholders are a relatively safe stream.



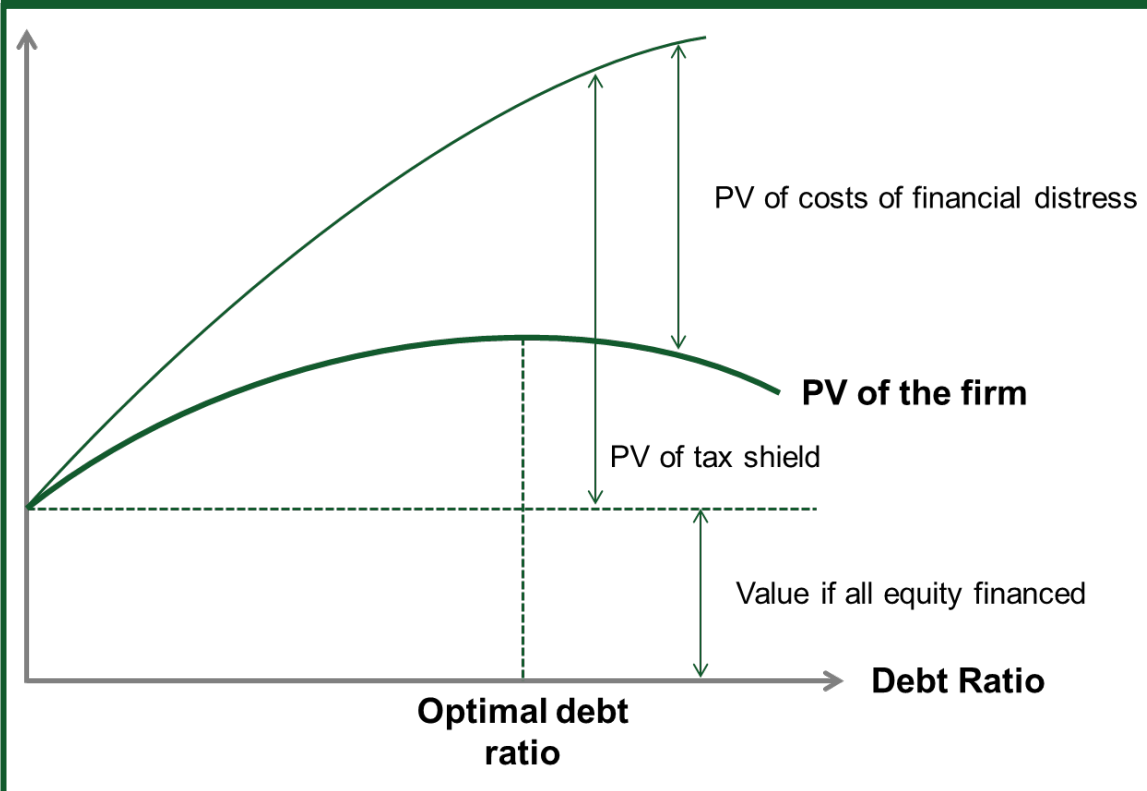
If financed by both equity and debt, the cash flows are split up into a relatively safe stream, that goes to the bondholders, and a more risky, residual stream that pertains to the shareholders.



The mix of different securities is called **capital structure** and is chosen to have the greatest overall appeal to investors and thereby **maximizing overall market value**.

1. Recap: Capital structure (II)

Trade-off theory



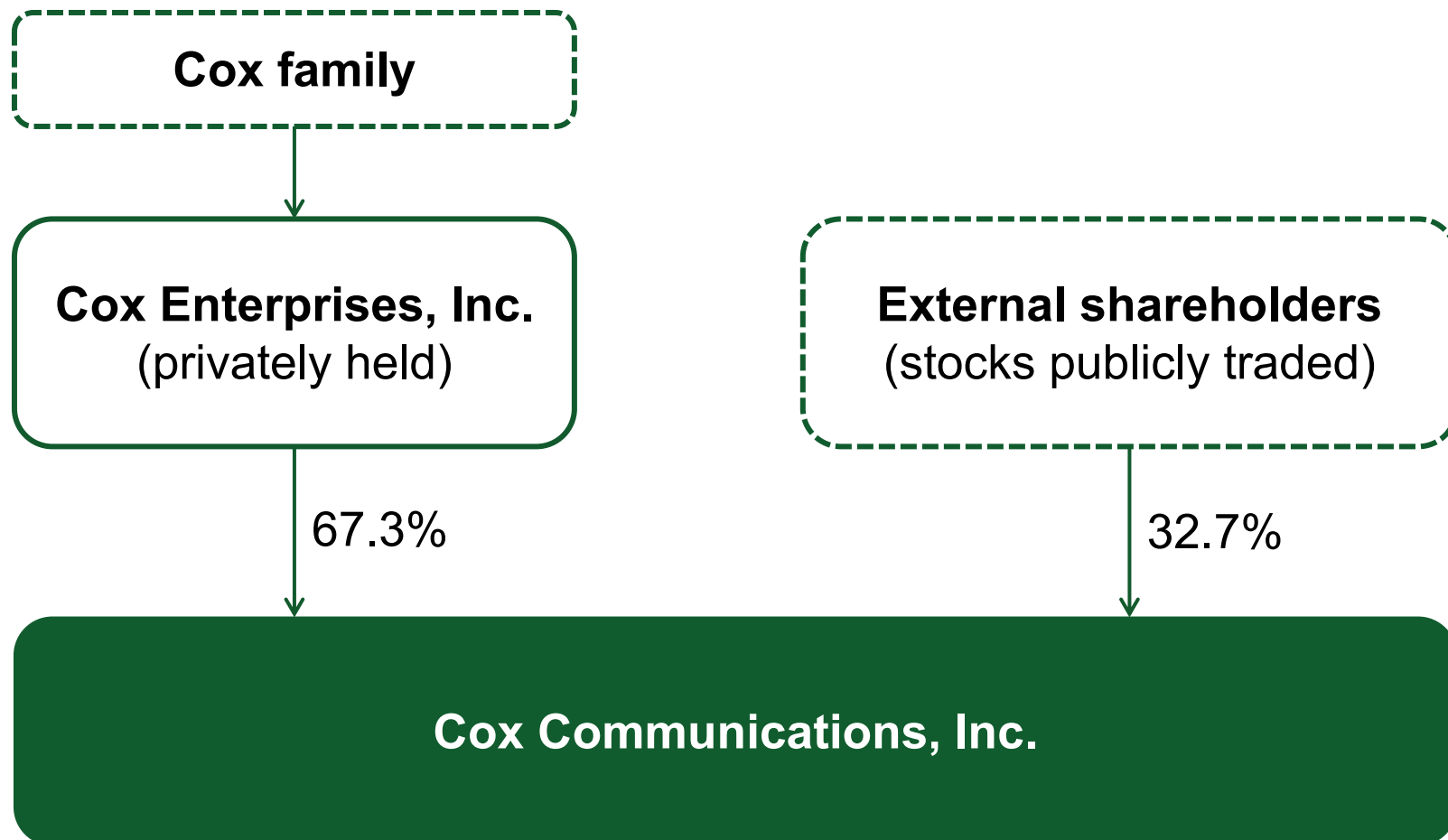
Considerations

- Value of tax shield
- Cost of financial distress
- Financial flexibility
- Issuance costs
- Market reactions
- Creditworthiness/rating

2. Cox Communications, Inc. – A real case

Cox Communications, Inc.		
Cox Communications, Inc. is a 100-year old newspaper company that had branched out into television, radio broadcasting, print media, production and cable.		
Ownership structure	Rating	Shares
Family-owned (Parent company CEI is 100% owned by the Cox family)	Investment grade bond rating • S&P A- • Moody's Baa2	Class A: 533.8m shares outstanding • one vote each • no dividends Class C: 27.6m shares outstanding • 10 votes each • no dividends

2. Cox Communications, Inc. – Ownership structure

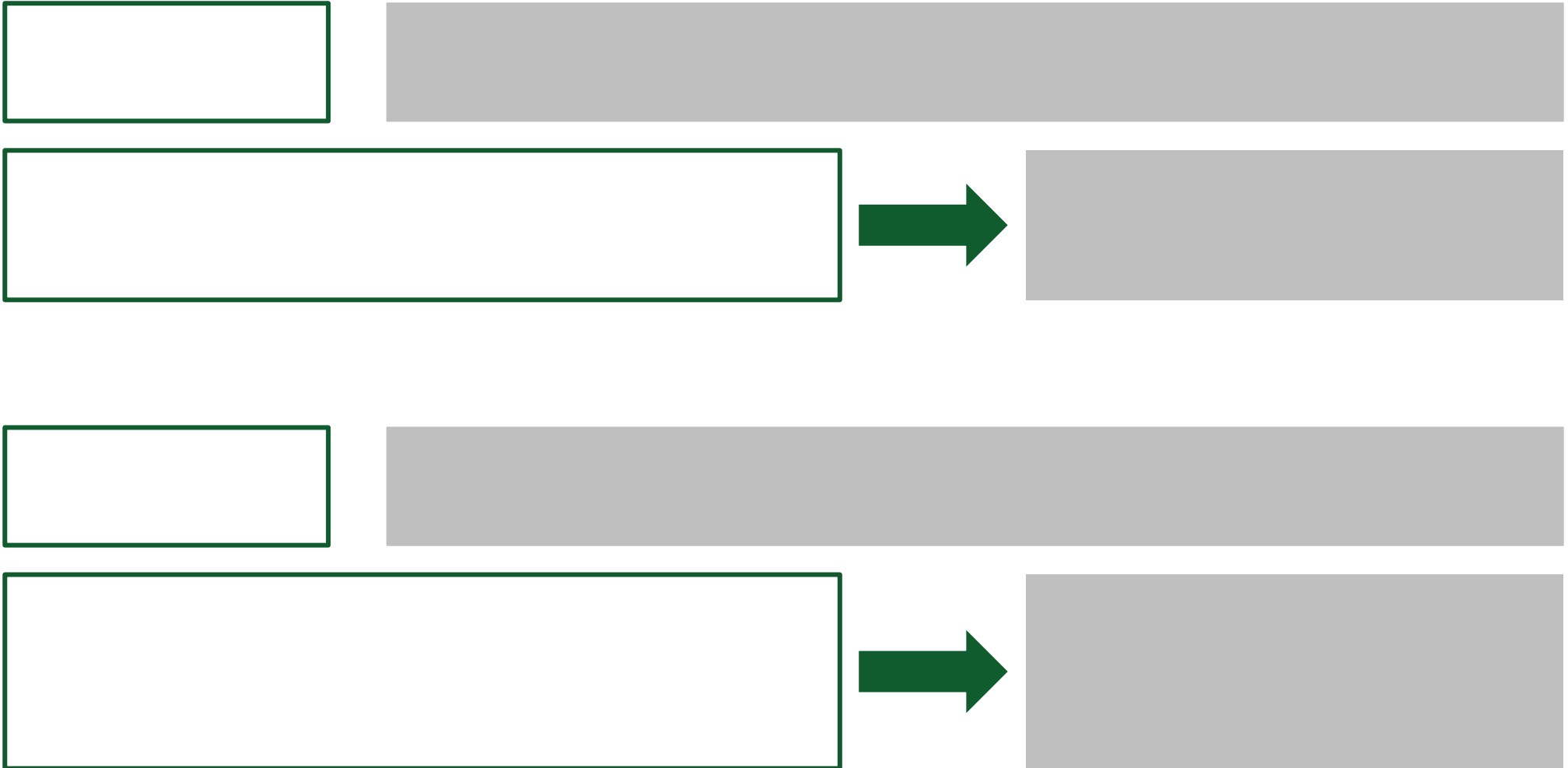


2. Cox Communications, Inc. – A real case

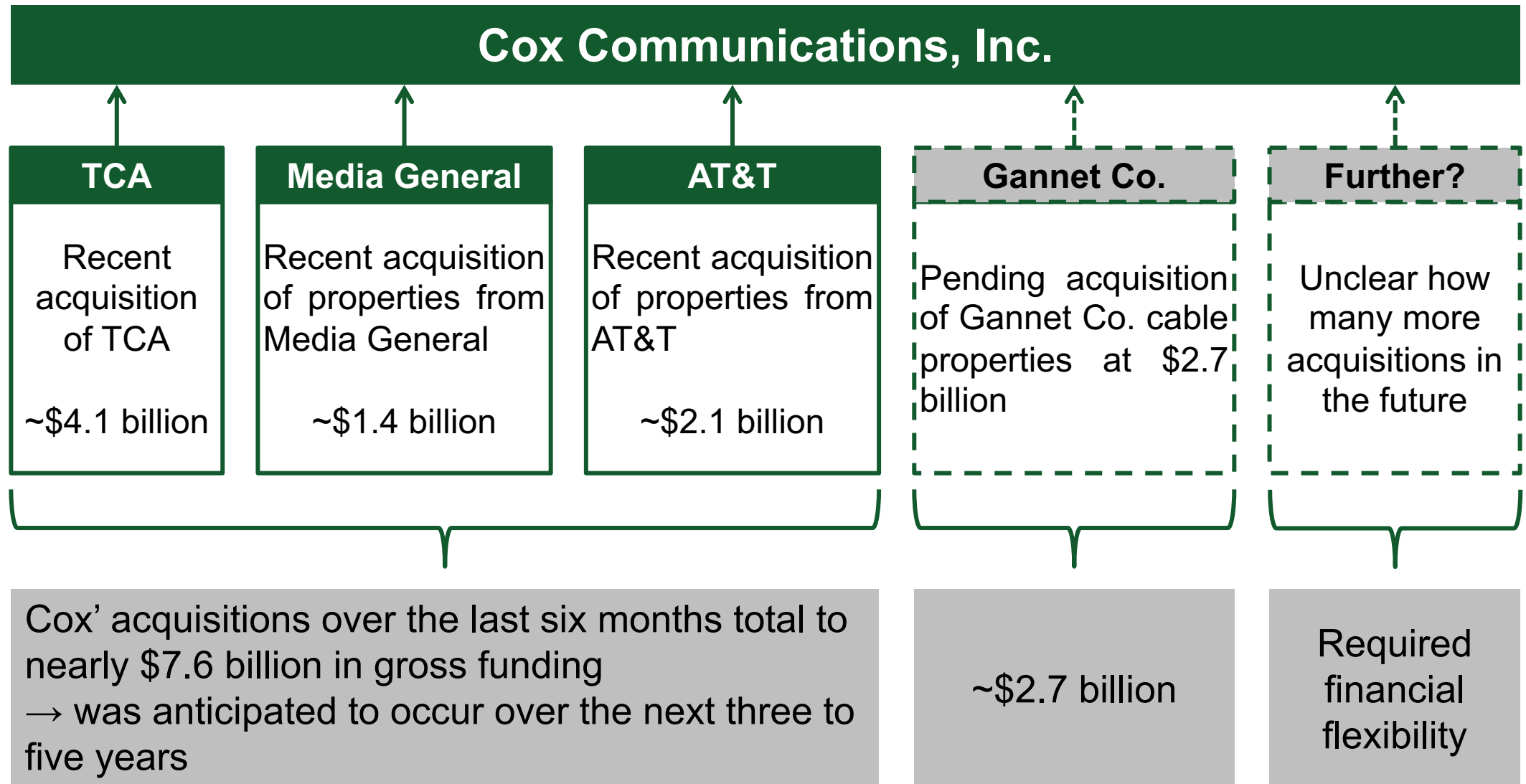
2a. What changes are occurring in the cable industry?

2b. Why has Cox Communications, Inc. undertaken so many acquisitions lately?

2. The cable and broadband industry (I)



2. Acquisitions of Cox Communications, Inc.



3. Cox Communications, Inc. – The Gannett acquisition

3a. Why is Cox Communications, Inc. acquiring Gannett?

3b. Does the Gannett acquisition make sense at \$2.7 billion?

3. Rational of the Gannett acquisition

Pros

Cons

3. Cost of capital of Gannett's cable properties

Industry	Book D/E	Book Assets	Market Equity	Book D/A	Book Debt	Market D/A	Levered Equity β	Unlevered Equity β
Cox	0.74	12,878	20,436	0.30	3'920	0.14	0.68	
AT&T	0.26	59,550	178,390	0.11	6'727	0.03	0.61	
Media One	0.38	28,192	45,111	0.19	5'422	0.09	1.08	
Time Warner	1.24	31,640	90,571	0.35	10'944	0.10	0.87	
Comcast	1.42	14,817	26,839	0.38	5'577	0.15	0.88	
Average Asset β								
Gannett D/A								
Levered Equity β Gannett								
Expected RoE Gannett								
Expected RoD Gannett								
WACC								

Source: Exhibits 2, 6, and 8

3.Valuation of Gannett's cable properties

(\$ millions)	1999	2000	2001	2002	2003
Gannett EBITDA		151	163	176	190
- Depreciation		6	5	5	5
EBIT		145	158	171	185
EBIAT (tax = 35%)		94	103	111	120
NWC (15% of EBITDA)	23	23	24	26	29
- Change in NWC		0	2	2	3
+ Depreciation		6	5	5	5
- CAPEX		30	25	25	25
Free Cash Flow (FCF)					
Terminal Value Growth					
Present Value (FCF+TV)					
Total value					

Source: Exhibit 8A and 8C

Source: Differences between Exhibit 8a and 8b

4. Funding needs and constraints

4a. Assuming the Gannett acquisition goes through, estimate the **short-term (1½ years) funding needs** of Cox Communications, Inc.'s using Exhibit 8C.

4. Short-term funding needs

Short-term (1 ½ years: 3 rd and 4 th quarter of 1999 and 2000)				
	Total	Equity	Debt	Cash
Media general				
TCA				
AT&T				
Gannett				
Acquisitions				
	Q1 & Q2	1999E	2000E	Total
+ CAPEX				
+ Maturing debt				
+ Interest payments				
- Operating CF				
Funding requirement				

Monetization	
Q1 1999 →	2000 →
Q3 1999 →	

As if Gannett cable properties were acquired and financed completely with equity

4. Long-term funding needs

4b. Assuming the Gannett acquisition goes through, estimate the **long-term (4½ years) funding needs** of Cox Communications, Inc.'s using Exhibit 8C. How much of the funding need must be met by external financing?

4. Long-term funding needs

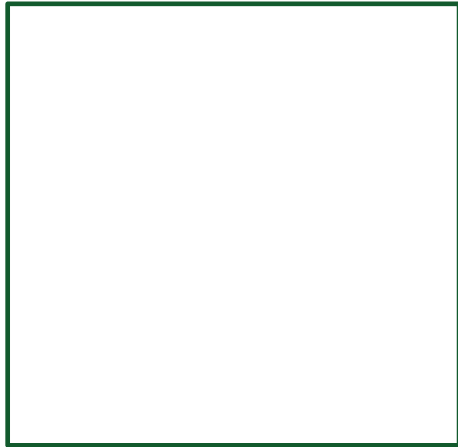
Long-term (4 ½ years: 3 rd and 4 th quarter of 1999 to 2003)					Total	Equity	Debt	Cash
Media general								
TCA								
AT&T								
Gannett								
Acquisitions								
	Q1 & Q2	1999E	2000E	2001E	2002E	2003E	Total	
+ CAPEX								
+ Maturing debt								
+ Interest payments								
- Operating CF								
As if Gannett cable properties were acquired and financed completely with equity							- Monetizations	
							Funding requirement	



4. Overall evaluation of funding needs



Overall evaluation of funding needs



4. Funding constraints

4c. What constraints does Clement face in satisfying Cox Communication's funding needs? Assume that Cox Enterprises, Inc. has mandated a 65% floor on their economic stake.

4. Funding constraints: Market perspective

4. Funding constraints: Firm-specific perspective

5. Possible funding options

5a. Analyze the solutions proposed in Exhibit 8.

5b. Which of the proposed solutions seems to satisfy the financing constraints determined above and why?

5. Possible funding options

Equity

Debt

Hybrid instrument

Asset sale

5. Financing options – Equity

Pros

Cons

5. Financing options – Equity



5. Financing options – Debt

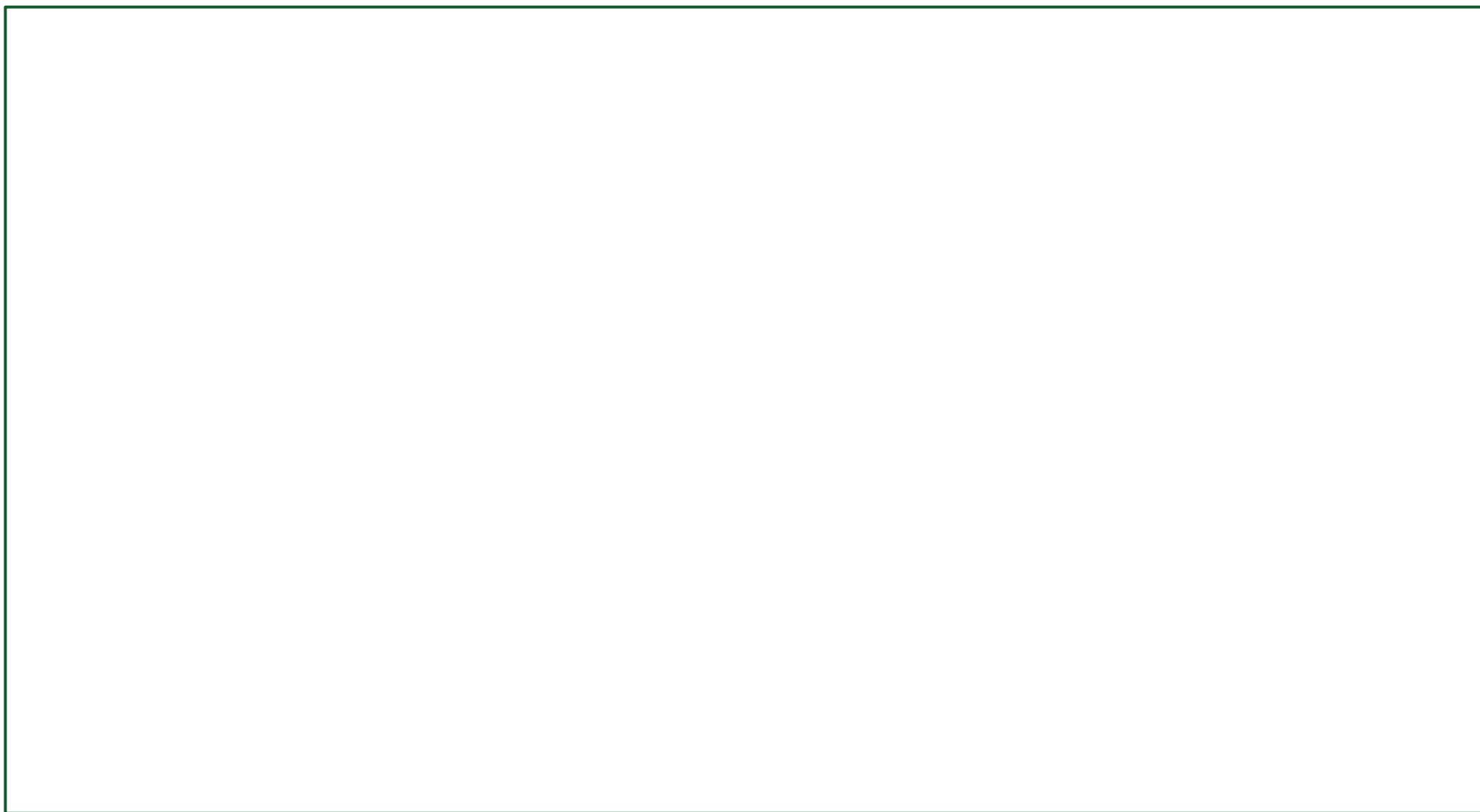
Pros

Cons

5. Financing options – Debt



5. Financing options – Debt



5. Financing options – Hybrid structures

Pros

Cons

5. Financing options – Asset sale

Pros

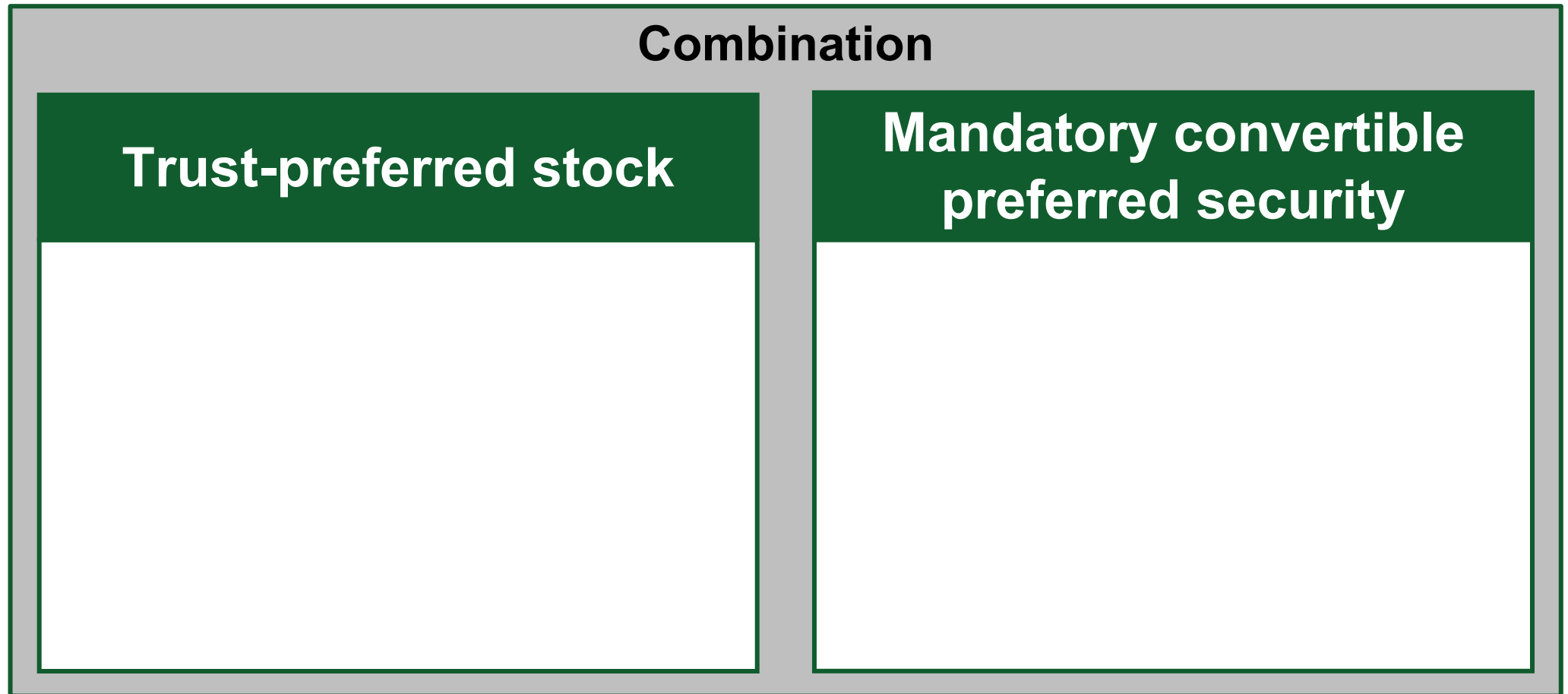
Cons

6. Hybrid financing instrument

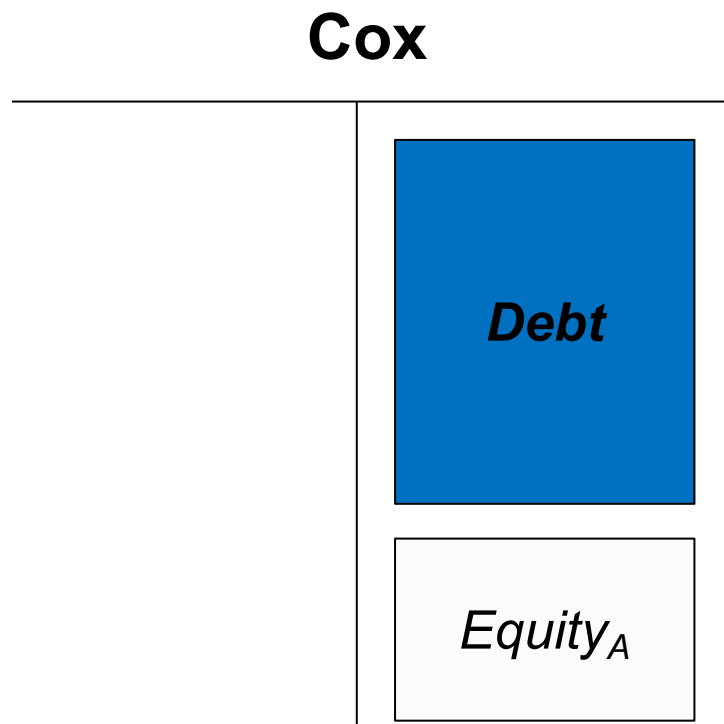
6a. What exactly are FELINE PRIDE securities?

6b. How are they structured to provide the benefits of both equity and debt?

6. FELINE PRIDE – Structure (I)



6. Trust-preferred stock (*Schematic*)



6. Mandatory convertible preferred security



Recap

- Financing a transaction requires to be aware of financing constraints (e.g. ownership structure, market timing, etc.).
- Taxes play an important role since interest payments are tax deductible.
- Issuing new equity will dilute the ownership structure if the current stockholders do not buy new stocks.
- Possible rating changes due to a different capital structure may limit the financing volume and / or opportunities.

Literature

Mandatory readings

- Chacko, G., and P. Tufano. Cox Communications, Inc., 1999. Harvard Business School Case 201-003. August 2000. (Revised August 2003.)